NSRA Sec. 3406(f) · Balanced Budget Path · Act I

A Balanced Budget, Written Into Law

CBO projects a federal deficit of **$1.9 trillion in 2026, rising to $3.1 trillion by 2036**, with no balanced year in sight. The NSRA pays for every program it creates and cuts the deficit by a modeled **$5.9 trillion over ten years**. Then it does what most budget plans only promise: it sets the targets in law and enforces them automatically.

The targets

Deadline	Target in law
Year 4	**Every program paid for.** Revenue covers all federal spending except interest on past debt, known as primary balance (Sec. 3406(f)(2)(A))
Year 6	**Deficit under 3% of GDP,** a widely used benchmark for keeping the debt from growing faster than the economy (Sec. 3406(f)(2)(B))
Year 10	**Balanced budget,** every year after (Sec. 3406(f)(2)(C))
Every year in between	A straight-line glide path published by CBO, so progress is measured annually, not just at the deadline (Sec. 3406(f)(2)(D))

How it is enforced

Step	What happens
August 15	CBO reports whether next year's deficit, under current law, misses the target, and by how much
Congress acts first	A Fiscal Target Act that closes the gap gets a guaranteed vote within 30 days of session
October 1 trigger	If Congress does not act, the gap closes automatically: half by capping tax breaks for incomes over $400,000 (joint) or $200,000 (single), half by an across-the-board cut split evenly between defense and non-defense
Speed limit	Automatic adjustments are capped at 1% of GDP a year, so there is no sudden shock to the economy
Recession or war	Enforcement pauses and resumes afterward; deadlines move only by the length of the pause

Who is protected

No automatic cut can touch Social Security, Medicare, Medicaid, the $0-premium Basic Minimum Plan, veterans' compensation and health care, SNAP, the $1,000-at-birth deposits, low-income tax credits, or military pay. No automatic tax change applies to any household under the $400,000 / $200,000 limits.

Why this is different

Most balanced-budget plans are goals. This one is scoreable: CBO counts enforcement mechanisms that are written into law, the same way it scored the 2011 Budget Control Act's caps and sequester. The bill's own revenue does most of the work toward the Year 4 target; the trigger guarantees the rest. Congress can always change a statute, which is why every target, every miss, and every adjustment is reported publicly each quarter.

Operative text: Sec. 3406(f) (Title XXXIV), carried with Act I, the American Fiscal Integrity Act. Severable and able to move on its own (Sec. 3406(f)(9)). Dollar figures are NSRA model projections on CBO's February 2026 baseline; CBO has not scored the bill.

Full text: theamericandeal.org/bill-text · This page: theamericandeal.org/balanced-budget · Contact: contact@theamericandeal.org · Fiscal figures are internal models, not CBO or JCT scores. Drafted by Santonio D. Sanders.